

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. MSC MEDITERRANEAN SHIPPING COMPANY SA

JOINT STATUS REPORT

Pursuant to the Presiding Officer's June 8, 2022 Order, the undersigned counsel for Complainant MCS Industries, Inc. ("MCS Industries") and Respondent MSC Mediterranean Shipping Company SA ("Mediterranean" and, collectively with MCS Industries, the "Parties") jointly file this report on the progress of discovery, which Your Honor requested so that the parties could report back on developments with respect to the Letters of Request that the Swiss authorities received from counsel for MCS Industries on May 31 and June 1, 2022.

Complainant's Statement

On July 7, 2022, Complainant's counsel received the decision of the Tribunal de première instance for the Swiss canton of Geneva (the "Swiss Court"), dated June 29, 2022, for which Complainant's counsel filed a notice of decision on July 8, 2022. As reflected in that decision, the Swiss Court has denied the Presiding Officer's May 4, 2022 letter of request (the "Letter of Request") pursuant to the Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters (the "Hague Evidence Convention") on the grounds that this action is administrative (as opposed to civil or commercial) in nature, and therefore the Swiss Court considers the Letter of Request to be outside the scope of Article 1 of the Hague Evidence Convention.

Complainant's counsel expressed concern in the Parties' April 4, 2022 Joint Status Report (the "April Report") that "after incurring the additional expense, burden, and delay of preparing, translating, and transmitting a letter of request for discovery that has already been ordered by the Presiding Officer, it is entirely possible that the letter of request will be refused, in whole or in part, or unduly narrowed or reinterpreted by Swiss authorities, thereby depriving Complainant of the necessary documentary discovery to which the Presiding Officer has already determined it is entitled." Unfortunately, that concern has been realized: the Swiss Court views the Hague Evidence Convention to be unavailing in this context and has denied the Presiding Officer's Letter of Request in its entirety on that basis.

Consequently, Complainant respectfully reiterates its request that the Presiding Officer proceed according to the mandatory procedures set forth in 46 U.S.C. Section 41108(c)(2) by "immediately notify[ing] the Secretary of State of the [Respondent's] failure to comply [with the Presiding Officer's December 8, 2021 Order Granting Motion to Compel] and of the allegation relating to foreign laws" so that "the Secretary of State shall promptly consult with the government of the nation within which the information or documents are alleged to be located for the purpose of assisting the Commission in obtaining the information or documents." 46 U.S.C. § 41108(c)(2). Complainant's counsel can provide the certified translations of the Letter of Request and attached materials that Complainant had prepared to the appropriate personnel within the Federal Maritime Commission and U.S. Department of State, as directed, to facilitate this process and avoid duplication of effort. As Respondent's counsel already indicated in the April Report, "MSC does not have any objection in principle to invocation of the consultation process under Section 41108(c)."

Complainant has no other substantive developments to report at this time.

Respondent's Statement

The June 29 decision of the Tribunal de première instance for the Swiss canton of Geneva (“TPI” or “Swiss Court”) denies the request for assistance on the ground that it is sought in connection with “an administrative proceeding directed by an administrative judge connected with the United States Federal Maritime Commission” and thus “does not relate to a civil or commercial case and thus does not fall within the scope of application of [the Hague Convention].” MSC’s Swiss counsel and U.S. counsel each believe that this conclusion is incorrect and is based on a misunderstanding of the nature of the Commission proceeding.

MSC believes that the most efficient way forward would be to resubmit a new application with additional context, and to direct it in the first instance to the Swiss Federal Office of Justice (FOJ) in Bern, Switzerland to help ensure the Swiss authorities reach the correct decision regarding the status of the Commission’s proceedings, and to allow the expeditious resolution of this issue. In the parties’ joint April 4 submission MSC reported the advice of its Swiss counsel “that in its experience the preferable route is to direct the [the letter of request] through the FOJ.” The prior letter of request was instead directed to and received first in Geneva, and only thereafter received by the FOJ.

While the new request would be addressed (in French translation) to the Court of First Instance in Geneva for execution, providing it in care of the FOJ would allow for a preliminary review that Swiss counsel believes would reduce the risk of another incorrect conclusion. As to U.S. law, the renewed application should explain that it is well-settled that Commission proceedings are directly analogous to civil proceedings in federal court. In *Federal Maritime*

Commission v. South Carolina State Ports Authority, 535 U.S. 743, 122 S. Ct. 1864, 152 L. Ed. 2d 962 (2002), the United States Supreme Court ruled directly on the issue of whether a private reparations action at the Commission is of the same nature as a civil proceeding in a court, and held that it is, concluding that “the similarities between FMC proceedings and civil litigation are overwhelming.” 535 U.S. at 759.

The Supreme Court began its discussion of the Commission’s adjudicative process by quoting from its previous ruling in *Butz v. Economou*, 438 U. S. 478 (1978), noting “the similarities between the role of an ALJ and that of a trial judge” and “the numerous common features shared by administrative adjudications and judicial proceedings”:

There can be little doubt that the role of the modern federal hearing examiner or administrative law judge . . . is “functionally comparable” to that of a judge. His [sic] powers are often, if not generally, comparable to those of a trial judge: He may issue subpoenas, rule on proffers of evidence, regulate the course of the hearing, and make or recommend decisions. More importantly, the process of agency adjudication is currently structured so as to assure that the hearing examiner exercises his independent judgment on the evidence before him, free from pressures by the parties or other officials within the agency.

* * *

[F]ederal administrative law requires that agency adjudication contain many of the same safeguards as are available in the judicial process. The proceedings are adversary in nature. They are conducted before a trier of fact insulated from political influence. A party is entitled to present his case by oral or documentary evidence, and the transcript of testimony and exhibits together with the pleadings constitute the exclusive record for decision. The parties are entitled to know the findings and conclusions on all of the issues of fact, law, or discretion presented on the record.

535 U.S. at 757 (quoting *Butz*, 438 U.S. at 513, 514).

The Supreme Court then turned to FMC adjudications specifically and noted that there was no dispute that “such a proceeding walks, talks, and squawks very much like a lawsuit,” and that “the similarities identified in *Butz* between administrative adjudications and trial court proceedings are present here.” *Id.* (internal quotation omitted). The Court stated that “FMC administrative proceedings bear a remarkably strong resemblance to civil litigation in federal courts,” citing the “[r]ules governing pleadings,” the availability of default judgments for failure to answer pleadings, and rules allowing intervention. *Id.*

Also directly relevant to the present issue, the Supreme Court noted in detail that:

discovery in FMC adjudications largely mirrors discovery in federal civil litigation. See 46 U. S. C. App. § 1711(a)(1) (1994 ed.) (instructing that in FMC adjudicatory proceedings “discovery procedures . . . , to the extent practicable, shall be in conformity with the rules applicable in civil proceedings in the district courts of the United States”). In both types of proceedings, parties may conduct depositions, see, e.g., 46 CFR § 502.202 (2001); Fed. Rule Civ. Proc. 28, which are governed by similar requirements. Compare §§ 502.202, 502.203, and 502.204, with Rules 28, 29, 30, and 31. Parties may also discover evidence by: (1) serving written interrogatories, see § 502.205; Rule 33; (2) requesting that another party either produce documents, see § 502.206(a)(1); Rule 34(a)(1), or allow entry on that party's property for the purpose of inspecting the property or designated objects thereon, § 502.206(a)(2); Rule 34(a)(2); and (3) submitting requests for admissions, § 502.207; Rule 36. And a party failing to obey discovery orders in either type of proceeding is subject to a variety of sanctions, including the entry of default judgment. See § 502.210(a); Rule 37(b)(2).

Id. at 758.

The Court went on to note that “[n]ot only are discovery procedures virtually indistinguishable, but the role of the ALJ, the impartial officer designated to hear a case, see § 502.147, is similar to that of an Article III judge,” *id.*, and concluded the “[i]n short, the similarities between FMC proceedings and civil litigation are overwhelming.” *Id.* at 759. *See also In re*

Testimony of Constandi Nasser, Trib. Admin. de Paris, 6eme section -- 2eme chambre, No. 51546/6 (Dec. 17, 1985)(rejecting the contention that an SEC letter of request for testimony of a nonparty witness is not within the Hague Convention because it was administrative and thus outside the scope of the Convention's limitation to "civil or commercial matters.").

MSC's Swiss counsel is not aware of Swiss precedent directly addressing Commission adjudicative proceedings in this context, but believes that, if the issue were more fully presented through the FOJ, the Swiss would conclude that government agency adjudications would be considered as "civil or commercial matters" under the Hague Convention, particularly given the clarity of U.S. law on the nature of such proceedings. In its guidelines on international mutual assistance in civil matters (*see document attached, in English*, the FOJ states that the terms "civil or commercial matters" are to be interpreted independently in the context of the Hague Convention. In other words, a matter is covered if it is commercial, even if it is not a civil court proceeding as the term "civil" might be narrowly understood. The applicability of the Convention should thus be understood in a broad sense.

According to the FOJ guidance, the only exclusions from the scope of the Hague Convention are criminal and tax matters, and disputes between a public authority and a private person where the public authority is acting in the exercise of State authority to safeguard public interests. Here the claim is by a private party, not the agency itself. The prevailing view among Swiss scholars is also that the concept of civil and commercial matters should be construed broadly, in line with common law jurisdictions, which do not draw a distinction between private and public law and exclude from civil matters only criminal cases and acts carried out in the exercise of public authority.

Finally, the Swiss Supreme Court has ruled in connection with a debt collection proceeding that it is the nature of the claim and not which specific authority is in charge that governs in determining application of the Hague Convention. The Swiss Supreme Court held that the debt enforcement authority (which, under Swiss law, is an administrative authority) may, when the claim at the origin of the proceedings is of a private nature, resort to mutual assistance under the conditions provided for by the Hague Convention. *See, e.g.*, Swiss Supreme court judgments *ATF 94 III 35* and *ATF 96 III 62*.

In light of the above-mentioned directly applicable and binding precedent of the U.S. Supreme Court, and the strong case that the Swiss authorities would reach the same result upon full consideration of that and of the applicable Swiss precedent on the issue, MSC believes that the Swiss judge was not correct in concluding that the present Commission proceeding is not the type of civil or commercial case to which the Hague Evidence Convention procedures for assistance apply, and that the matter would likely be corrected if the matter were presented again with this background, initially to the FOJ in Bern. MSC's Swiss counsel has advised that the FOJ has more experience working with these issues than the TPI, and has a dedicated desk in Bern to address intergovernmental judicial assistance requests. This is why MSC's Swiss counsel, as reported in the April 4 submission, advised that the preferable route is to direct such letters of request through the FOJ. The question then becomes how best to present the issue to that Office.

Complainant has previously submitted, and reiterates here, that Your Honor should request invocation of the consultation process contemplated by 46 U.S.C. § 41108(c)(2). This is one option, but MSC's Swiss counsel believes that it would be more efficient to simply re-serve the request via the Swiss FOJ, with additional reference to the U.S. Supreme Court's holding as to the "overwhelming" similarities between FMC proceedings and civil litigation in traditional courts,

and the Swiss law additionally supporting that conclusion. This would allow for the necessary reconsideration of the matter without the costs and delays that could result from a more formal consultation process or an appeal of the June 29 Order. This resubmission could be made almost immediately. A more fully informed ruling with potential input by the Swiss FOJ would in MSC's view likely correct any precedent misconstruing the status and authority of Commission proceedings, and would allow the instant matter to proceed expeditiously.

MSC agrees with Complainant that further intergovernmental processes must be pursued. Without authorization from a competent Swiss authority, MSC is placed in the impossible position of facing the threat of criminal prosecution under Swiss law if it were to comply with Your Honor's prior order. MSC does respectfully submit that its suggested approach is preferable to a formal consultation under 46 U.S.C. § 41108(c)(2).

Complainant's Further Statement

Complainant does not object to Respondent MSC re-submitting the Letter of Request and its supporting materials to the Swiss FOJ, but notes that Complainant already submitted the Letter of Request and supporting materials to the FOJ concurrently with its submission to the Swiss Court, to no avail. The FOJ sent Complainant an email acknowledgement on June 15, 2022, noting that the Swiss Court was the competent authority to address the Letter of Request,¹ which the Swiss Court did by denying the Letter of Request in its entirety.

Should Respondent wish to appeal to the FOJ and the Swiss Court to reconsider the Letter of Request in light of the case law discussed in this Joint Status Report, Complainant requests that those efforts be undertaken concurrently with the consultation process contemplated by 46 U.S.C. § 41108(c)(2). If, as Respondent hopes, its appeal results in a swift reconsideration of the Swiss

¹ Complainant's counsel forwarded the email acknowledgement to counsel for Respondent, also on June 15, 2022.

Court's decision, the parties and the Presiding Officer can notify the State Department that its assistance is no longer needed. However, in the interest of completing discovery in the timeliest manner possible, and recognizing the uncertain timing inherent in the statutory consultation process, Complainant believes that it is in all parties' best interest to initiate the consultation process contemplated by 46 U.S.C. § 41108(c)(2) now, with or without further efforts by Respondent to address the Letter of Request with the FOJ and the Swiss Court.

[SIGNATURES FOLLOW]

Respectfully submitted,

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